

Jury Says No to Elon Musk's Lawsuit Against OpenAI

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Imagine giving \$38 million to a friend to start a charity, and then they turn it into a business. That's what Elon Musk says happened with OpenAI, the company behind ChatGPT. But a jury in California just said his **lawsuit** came too late. The case is over. Musk donated \$38 million to help start OpenAI in 2015. He said the company promised to be a **non-profit**, working on AI for the good of everyone. But later, OpenAI became a **for-profit** company. Musk said CEO Sam Altman **tricked** him. In court, Musk told the jury, "It's not OK to steal a charity." But Altman said Musk knew about the plan to become a business. In fact, Altman said Musk wanted to be in charge forever. "He said maybe control should pass to his children," Altman **testified**. The jury listened to three weeks of arguments and looked at emails. They only needed two hours to decide. They said Musk waited too long to sue. A rule called a **statute of limitations** (a time limit for filing a **lawsuit**) had run out. OpenAI's lawyer said the jury saw that Musk was lying. A spokesman called it a "tremendous victory." So for now, OpenAI stays as it is, working on AI that it says will help all people.

Word Treasure

non-profit -- an organization that uses its money for a mission rather than making profit for owners

for-profit -- a company that aims to earn income for its owners or shareholders

statute of limitations -- a law that sets a time limit for taking a case to court

lawsuit -- a case brought to court by one person or group against another

tricked -- deceived or fooled someone into believing something that isn't true

testified -- gave spoken evidence under oath in a court or legal setting

Background you need

OpenAI (the company behind the popular chatbot ChatGPT) was started in 2015. Elon Musk (the billionaire behind Tesla and SpaceX) helped create it, believing it should be a non-profit that shares AI benefits with everyone. Later, OpenAI became a for-profit business, and now Sam Altman (its CEO) is in a legal fight with Musk.

Break it down

WHO: Elon Musk, Sam Altman, and a jury in California.

WHAT: The jury decided Musk's lawsuit against OpenAI was too late, ending the case.

WHERE: In a California courtroom.

WHY: The statute of limitations, a time limit for suing, had expired.

Why it matters

This case shows that even rich and famous people must follow the same rules as everyone else, including time limits for going to court, which is a lesson about fairness in our justice system.

Test what you remember

1. How much money did Elon Musk donate to help start OpenAI?

- ☐ (A) \$38 thousand
- ☐ (B) \$38 million
- ☐ (C) \$67 billion
- ☐ (D) \$200 million

2. What did Elon Musk say OpenAI promised to be?

- ☐ (A) A for-profit company
- ☐ (B) A charity
- ☐ (C) A non-profit working on AI for the good of everyone
- ☐ (D) A video game company

3. What did Sam Altman say Musk wanted?

- ☐ (A) To shut down OpenAI
- ☐ (B) To be in charge forever
- ☐ (C) To give money away
- ☐ (D) To hire more people

4. How long did the jury need to decide?

- ☐ (A) Three weeks
- ☐ (B) Two hours
- ☐ (C) Two days
- ☐ (D) One hour

5. What rule did the jury say had run out?

- ☐ (A) Statute of limitations
- ☐ (B) The law of gravity
- ☐ (C) A contract clause
- ☐ (D) A privacy rule

6. What did a spokesman call the outcome?

- ☐ (A) A terrible loss
- ☐ (B) A tremendous victory
- ☐ (C) A small step
- ☐ (D) An unfair ruling

Answer key (try the quiz first!): 1: B 2: C 3: B 4: B 5: A 6: B

1. **Elon Musk's viewpoint:** He believed OpenAI tricked him by turning a charity into a business, and felt betrayed after donating \$38 million.
2. **OpenAI's viewpoint:** They argued that Musk knew about the business plans and wanted to be in charge, and that the lawsuit was filed too late.
3. **The jury's viewpoint:** They focused on the law and decided that Musk waited too long, regardless of who was right or wrong.